

LAND SALE AGREEMENT WITH DEFERRED PAYMENT

Commercial Plot Sale — Extended Payment Terms

1. CONTRACT IDENTIFICATION

Contract Reference:	LAND-2025-DEFER-005
Contract Date:	1 April 2025

2. PARTIES

Seller:	Sharjah Industrial Land Holdings
Buyer:	Gulf Logistics Park LLC

3. PROPERTY AND PRICE

Plot:	Industrial Plot 14, Sharjah Industrial Area
Plot Area:	50,000 sq ft
Nominal Sale Price:	AED 5,000,000
Control Transfer Date:	1 April 2025 (immediate transfer of title)

4. PAYMENT TERMS (DEFERRED)

Payment Structure:	100% deferred - full AED 5,000,000 due 1 April 2028 (3 years after control transfer)
No interest stated separately in agreement	Buyer pays AED 5,000,000 in 3 years with no explicit interest charge

5. SIGNIFICANT FINANCING COMPONENT ASSESSMENT (IFRS 15.60-65)

Period between transfer and payment	36 months - EXCEEDS the 12-month practical expedient threshold (IFRS 15.63)
Financing component present?	YES - Buyer is financing the purchase from Seller over 3 years
Discount rate to apply:	Buyer's incremental borrowing rate: 7% per annum
Present Value of Transaction Price:	$AED\ 5,000,000 / (1.07)^3 = AED\ 4,081,000$ (approximately)
Revenue to recognise at transfer:	AED 4,081,000 (the cash selling price, not the nominal AED 5,000,000)
Interest income to recognise over 3 years	AED 919,000 (the difference, recognised as interest income, not revenue, over the financing period)